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Idea Watch

Measuring the Return on Character
CEOs who are rated high on four moral principles deliver better financial results than those who aren't. PLUS How consumers understand (and misunderstand) pricing cues, connected cities are economically healthy cities, and more

probe

MEASURING THE RETURN ON CHARACTER

CEOs who are rated high on four moral principles deliver better financial results than those who aren't.

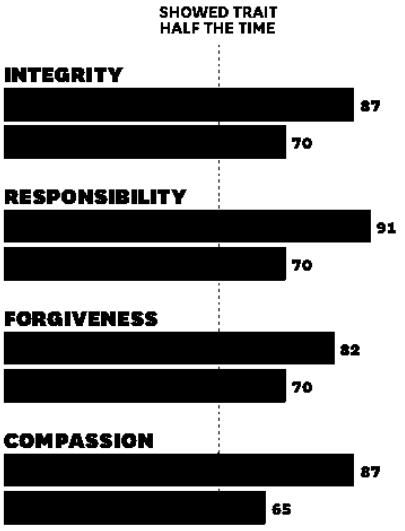
When we hear about unethical executives whose careers and companies have gone down in flames, it's sadly unsurprising. Hubris and greed have a way of catching up with people, who then lose the power and wealth they've so fervently pursued. But is the opposite also true? Do highly principled leaders and their organizations perform especially well?

They do, according to a new study by KRW International, a Minneapolis-based leadership consultancy. The researchers found that CEOs whose employees gave them high marks for character had an average return on assets of 9.35% over a two-year period. That's nearly five times as much as what those with low character ratings had; their ROA averaged only 1.93%.

Character is a subjective trait that might seem to defy quantification. To measure it, KRW cofounder Fred Kiel and his colleagues began by sifting through the anthropologist Donald Brown's classic inventory of about 500 behaviors and characteristics that are recognized and displayed in all human societies. Drawing on that list, they identified four moral principles—integrity, responsibility, forgiveness, and compassion—as universal. Then they sent anonymous surveys to employees at 84 U.S. companies and nonprofits, asking, among other things, how consistently their CEOs and management teams embodied the four principles. They also interviewed many of the executives and analyzed the organizations' financial results. When financial data was unavailable, leaders' results were excluded.

HOW LEADERS SCORED

Employees rated their CEOs on four key traits using a 100-point scale, where 50 meant that the leader displayed the trait "about half the time" and 100 meant "always." The gap between the top scorers (dubbed "virtuoso CEOs") and the lowest ones ("self-focused CEOs") persisted across the board.



SOURCE KRW

At one end of the spectrum are the 10 executives Kiel calls "virtuoso CEOs"—those whose employees gave them and their management teams high ratings on all four principles. People reported that these leaders frequently engaged in behaviors that reveal strong character—for instance, standing up for what's right, expressing concern for the common good, letting go of mistakes (their own and others'), and showing empathy. Examples include Dale Larson, who took over his family's storm door business decades ago after his father died of cancer, growing it from about 30 employees to more than 1,500 and gaining a market share of 55%; Sally Jewell, a former CEO of REI, America's largest outdoor retailer; and Charles Sorenson, a surgeon who moved into management at Intermountain Healthcare when the company began to grow and eventually took on the top job.

At the other end of the spectrum, the 10 lowest scorers—Kiel calls them "self-focused CEOs"—were often described as warping the truth for personal gain and caring mostly about themselves and their own financial security, no matter the cost to others. This group includes the CEO of a public high-tech manufacturing firm, the CEO of a global NGO, and an entrepreneur who heads a professional services firm. (All study participants were guaranteed anonymity from the beginning. Only a third later gave permission to use their names.) Employees said that the self-focused CEOs told the truth "slightly more than half the time," couldn't be trusted to keep promises, often passed off blame to others, frequently punished well-intentioned people for making mistakes, and were especially bad at caring for people.

Early in the project the researchers expected to find a relatively small relationship between strength of character and business performance. "I was unprepared to discover how robust the connection really is," Kiel says. In addition to outperforming the self-focused CEOs on financial metrics, the virtuosos received higher employee ratings for vision and strategy, focus, accountability, and executive team character.

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Do leaders who need to work on their character know it? In most cases, no—they're pretty deluded. When asked to rate themselves on the four moral principles, the self-focused CEOs gave themselves much higher marks than their employees did. (The CEOs who got high ratings from employees actually gave themselves slightly lower scores—a sign of their humility and further evidence of strong character.) Fortunately, Kiel points out, leaders can increase their self-awareness through objective feedback from the people they live and work with. But they have to be receptive to that feedback, and those with the biggest character deficiencies tend to be in denial.

How can such leaders get past their denial and overcome their character deficits? Seeking guidance from trusted mentors and advisers helps a great deal, Kiel says. He discovered that firsthand early in his own career. After earning a PhD in psychology, he built two large clinical practices and briefly served as the CEO of a publicly held company. Back then, he says, he was more like the self-focused CEOs than the virtuosos: "While I never engaged in any illegal behavior, I'm sure many of my colleagues in those days felt that I was more than willing to throw them under the bus if it meant success for me." As Kiel reached middle age, though, he began to feel a sense of moral and spiritual emptiness—and he knew he needed to change. It was a long, difficult process. After all, he was trying to undo deeply ingrained habits. But with practice and counsel he succeeded, and he was inspired to help other business leaders do the same.

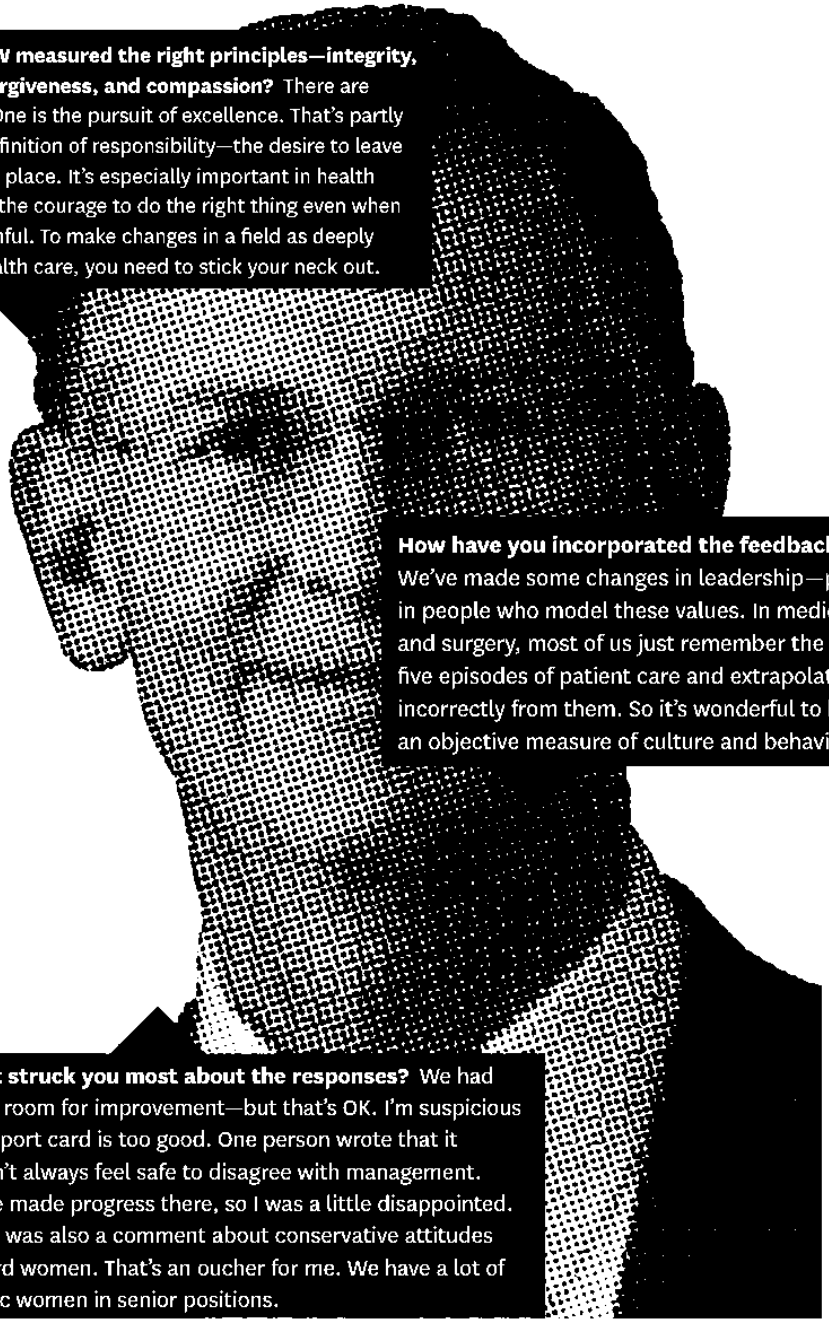
If Kiel's experience (and his clients') is any indication, character isn't just something you're born with. You can cultivate it and continue to hone it as you lead, act, and decide. The people who work for you will benefit from the tone you set. And now there's evidence that your company will too.

Learn more about KRW's findings in *Return on Character*, by Fred Kiel (Harvard Business Review Press, 2015).

THE IDEA IN PRACTICE

"I'M SUSPICIOUS IF A REPORT CARD IS TOO GOOD"

Charles Sorenson, the president and CEO of Intermountain Healthcare, was one of the highest-scoring leaders in KRW's study on character. He spoke with HBR about what he learned from the results. Edited excerpts follow.



Do you think KRW measured the right principles—integrity, responsibility, forgiveness, and compassion? There are two I might add. One is the pursuit of excellence. That's partly included in the definition of responsibility—the desire to leave the world a better place. It's especially important in health care. The other is the courage to do the right thing even when it's difficult or painful. To make changes in a field as deeply entrenched as health care, you need to stick your neck out.

How have you incorporated the feedback? We've made some changes in leadership—put in people who model these values. In medicine and surgery, most of us just remember the last five episodes of patient care and extrapolate incorrectly from them. So it's wonderful to have an objective measure of culture and behavior.

What struck you most about the responses? We had some room for improvement—but that's OK. I'm suspicious if a report card is too good. One person wrote that it doesn't always feel safe to disagree with management. We've made progress there, so I was a little disappointed. There was also a comment about conservative attitudes toward women. That's an oucher for me. We have a lot of terrific women in senior positions.

COURTESY OF INTERMOUNTAIN HEALTHCARE

RETAIL
HOW CONSUMERS UNDERSTAND (AND MISUNDERSTAND) PRICING CUES

Giant suburban stores with tacky displays always have the best prices, right? Just as urban stores with beautiful gourmet sections have the highest ones?

New research suggests that people persist in believing these stereotypes, even though they're not always true.

Ryan Hamilton, of Emory University's Goizueta Business School, and Alexander Chernev, of Northwestern's Kellogg School, were fascinated by how certain discounters—especially Walmart—do such a good job of projecting a low-price image that consumers believe their prices are rock-bottom despite the more nuanced reality. Other stores, such as Whole Foods Market, can't shake the misperception that their prices are always higher. Hamilton and Chernev realized that projecting a price image is like sending consumers a coded message. In an academic study, they describe three signals retailers need to understand and manage in order to avoid sending incorrect cues.

High volume=low cost. Several elements have been shown to signal that a store moves lots of product. Location is one: People generally assume that stores in big shopping malls outside city centers serve a large consumer base. Size is another: Extensive square footage and a large assortment create a high-volume impression. Stockouts are a signal too, because they suggest that a store runs through vast quantities quickly. When consumers believe that a retailer is focused on volume, they infer that the store can secure deep discounts from suppliers and sell at low margins—a combination that presumably results in low prices.

Frills=high cost. Consumers believe, often on a subconscious level, that they'll have to pay for anything extra, whether that's beautiful decor and well-organized displays, well-trained employees, a high staff-to-customer ratio, extended business hours, a generous returns policy, or a prominent social-responsibility strategy.

Unconventional products=high cost. Customers associate unadorned functionality with low prices. Quirky, specialized, or highly designed items make people assume that even the store's mainstream goods have steep prices.

Understanding these cues is vital as retailers compete against other physical retailers and with online sellers, whose prices can be quickly checked on a smartphone. And as Whole Foods and other companies try to combat consumers' notions that they are overpriced, they should realize that working on the pricing cues they send may be nearly as important as actually lowering prices.

ABOUT THE RESEARCH "Low Prices Are Just the Beginning: Price Image in Retail Management," by Ryan Hamilton and Alexander Chernev

NETWORKING
CONNECTED CITIES ARE ECONOMICALLY HEALTHY CITIES

Social-media links may exert an "accelerator effect" on job growth.

Could increasing your online connections to friends and business contacts benefit your entire city?

Maybe. Higher LinkedIn connectedness in a metropolitan area—the number of people each user is connected to, on average—is associated with faster job growth there. From 2010 to 2014, in the wake of the Great Recession, the U.S. metro areas with the highest average number of connections per user had more than twice the job growth of the least-connected areas, according to a study sponsored by LinkedIn.

Of course, LinkedIn isn't the only way for people to connect online, but the study's author, Michael Mandel, says it's reasonable to assume that where there are more LinkedIn connections, there are more social-media connections of all types.

Four-year job growth in the most-connected U.S. metro areas:

8.2%

In the least-connected:

3.5%

Mandel, the president of South Mountain Economics, took the average number of connections per member in each of 275 areas and created a connectedness index ranging from 0 to 1. He then calculated the four-year job growth in each area. He found that each 0.1 rise in connectedness was associated with an average increase of about one percentage point in job growth.

GETTY IMAGES

Was this a true correlation, or were other factors responsible? For example, could the results reflect the tech boom in cities such as San Francisco and New York if tech workers are especially heavy users of LinkedIn? To answer that question, Mandel filtered out tech users and redid the analysis; the association between connectedness and job growth remained positive and significant. He controlled for other factors as well, including region size.

This limited study didn't allow Mandel to determine whether there's any causation here—whether a high density of connections has anything to do with job growth. But he believes that connectedness probably exerts an "accelerator effect." A higher density of connections, he says, might spark new jobs through better exploitation of business opportunities—for example, an entrepreneur could tap online contacts for help with finance or marketing. It might also facilitate the matching of workers with available jobs.

The study suggests, too, that there may be better ways to measure economic health than the methods currently in use. Policy makers still rely on metrics, such as monthly unemployment rate and the growth of national output, that go back to the early decades of the 20th century—indicators that are "too blunt to deal with today's highly networked world," Mandel says. The research on connectedness offers the possibility that other kinds of statistics might give us a clearer idea of what goes on among job seekers and businesses and why some regions grow faster than others.

And if future research can demonstrate that connections stimulate growth, we might have a new tool for creating jobs, Mandel speculates. Areas that are able to help residents extend their personal networks could see an employment payoff.

ABOUT THE RESEARCH "Connections as a Tool for Growth: Evidence from the LinkedIn Economic Graph," by Michael Mandel

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Some of these articles previously appeared in different form on HBR.org.

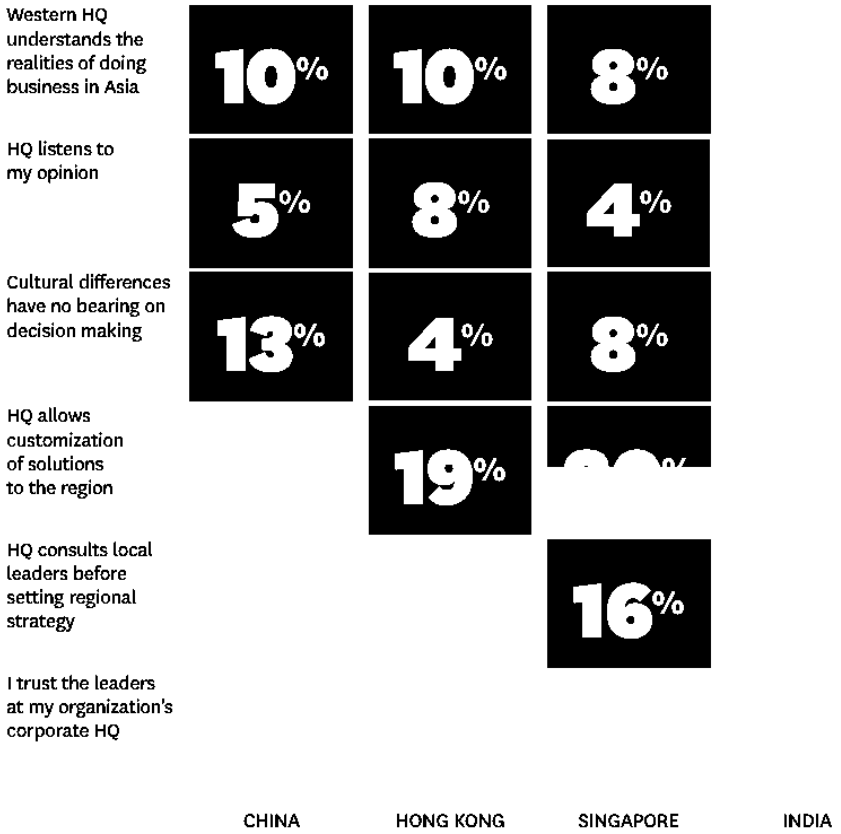
RETENTION
HELLO? ANYONE IN HQ LISTENING?

Why Asian executives of Western multinationals so often quit

When leaders of multinationals based in the developed world talk about Asia's high executive-turnover rate, they're often fatalistic: Isn't it an unavoidable by-product of high growth?

Not necessarily. Turnover is high because of specific factors that corporate leaders can affect, according to a survey by CEB and Russell Reynolds Associates of more than 1,000 Asia-based CEOs and other executives. These include a lack of confidence among local leaders that headquarters understands their regions and values their opinions. Although the long familiarity Indian executives have with Western multinationals seems to give them a relatively favorable view of headquarters, their counterparts in China, Hong Kong, and Singapore feel that corporate bosses aren't listening to them.

ASIAN EXECUTIVES (ONLY SLIGHTLY) AGREE:



SOURCE "DEMYSTIFYING THE MARKET FOR EXECUTIVE TALENT IN ASIA," CEB AND RUSSELL REYNOLDS ASSOCIATES

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